Type MS · Preparing an income statement for a trader or service business

Answer 1 of 7 · Question 1 part a · 20 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 2 · find part a in this mark scheme extract

1(a) **Award marks as indicated.**

Tang
Income Statement
For the year ended 31 December 2023

	$	$
Revenue		150 000 **(1)**
Cost of sales		
Opening inventory	8 700	
Purchases	89 000 **(1)**	
Returns outwards	(4 256)**(1)**	
Carriage inwards	800**(1)**	
Goods taken for own use	(3 290)**(1)**	
Closing inventory	(9 345)**(1fb)**	
Cost of sales		(81 609)**(1)**
Gross profit		68 391**(1of)**
Expenses		
Business rates (1430**(1)**+570**(1)**	2 000**(2)**	
Carriage outwards	1 300**(1)**	
Depreciation – fixtures and fittings	1 000**(1)**	
Depreciation – motor vehicles	11 250**(1)**	
General expenses	5 800**(1)**	
Insurance (3 600**(1)**–600 **(1)**	3 000**(2)**	
Irrecoverable debts	650**(1)**	
Motor expenses	7 890**(1)**	
		32 890**(1of)**
Profit for the year		35 501**(1of)**

(20)

Type MS · Preparing an income statement for a trader or service business

Answer 1 of 7 · Question 1 part a · 20 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award up to 2 marks for the evaluation of each option.** **Award 1 mark for overall advice.** **Sample answer** **Option 1** Employing a bookkeeper will mean that the business will incur an additional expense **(1)** which will reduce the profit for the year. **(1)** **Option 2** By purchasing an accounting software package the business will incur the expense of purchasing the package **(1)** which will increase capital expenditure for that year only. **(1)** **Advice** I would advise Tang to purchase the accounting software package as it will make his business more efficient. **(1)** **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Preparing an income statement for a trader or service business

Answer 2 of 7 · Question 1 part a · 20 marks

2019 JUN · Paper 02 · extract 1 of 3 · find part a in this mark scheme extract

1(a)	**Award marks as indicated.**	**(20)**

Type MS · Preparing an income statement for a trader or service business

Answer 2 of 7 · Question 1 part a · 20 marks

2019 JUN · Paper 02 · extract 2 of 3 · find part a in this mark scheme extract

Award one mark for all correct labels.

Yu Win

Income statement for the year ended 31 May 2018

	$	$	
Revenue	329 500		**(1)**
Returns inwards	(15 500)		**(1)**
		314 000	
Cost of sales			
Opening inventory	37 150		**(1)**
Purchases	185 375		**(1)**
Returns outwards	(12 500)		**(1)**
Goods for own use	(2 500)		**(1)**
Carriage inwards	3 625		**(1)**
Closing inventory	(43 950)		**(1)**
		(167 200)	**(1 of)**
Gross profit		146 800	**(1 of)**
Other income			
Allowance for doubtful debts		750	**(1)**
Discount received		1 250	**(1)**
		148 800	**(1of)**
Expenses			
Loss on disposal	225		**(1)**
Depreciation - Fixtures and fittings	625		**(1)**
- Motor vehicles	5 645		**(1)**
General expenses	23 250		**(1)**
Wages and salaries	40 000		**(1)**
		(69 745)	
Profit for the year		79 055	**(1 of)**

Question number	Answer	Mark

Type MS · Preparing an income statement for a trader or service business

Answer 2 of 7 · Question 1 part a · 20 marks

2019 JUN · Paper 02 · extract 3 of 3 · find part a in this mark scheme extract

1(b) **Award marks as indicated.**

Yu Win

Statement of financial Position at 31 May 2018

	$	$	$
Assets			
Non-current assets	Cost	Accumulated depreciation	Carrying value
Fixtures and fittings	12 500 **(1)**	3 750	8 750 **(1of)**
Motor vehicles	70 000 **(1)**	19 195	50 805 **(1of)**
			59 555 **(1)**

(5)

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Preparing an income statement for a trader or service business

Answer 3 of 7 · Question 1 part a · 20 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 2 · find part a in this mark scheme extract

1 (a) **Award marks as indicated with label.**

Gurpreet Income statement for the year ended 31 December 2019		
	$	**$**
Revenue		81 385 **(1)**
Cost of sales		
Opening inventory	15 000 **(1)**	
Purchases	45 920 **(1)**	
Closing inventory	(12 000) **(1)**	
		(48 920) **(1of)**
Gross profit		32 465 **(1of)**
Add income		
Allowance for doubtful debts		150 **(1)**
Profit on disposal of motor vehicle $5 760 **(1)** - $5 000 **(1)** = $760 **(1of)**		760 **(3)**
		33 375
Less expenses		
Irrecoverable debts	575 **(1)**	
Motor vehicles – depreciation charge $40 000 **(1)** x 10%=$4 000 **(1of)**	4 000 **(2)**	
Office expenses $16 780 **(1)** - $1 280=$15 500 **(1)**	15 500 **(2)**	
Wages $24 375 **(1)** + $1 125=$25 500 **(1)**	25 500 **(2)**	
		(45 575) **(1of)**
Loss for the year		12 200 **(2/1of)**

(20)

Type MS · Preparing an income statement for a trader or service business

Answer 3 of 7 · Question 1 part a · 20 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**Award 2 marks for points in favour and 2 marks for points against. Award 1 mark for decision.** **For example** The new partner will provide additional capital **(1)** and new skills and expertise **(1).** However, Gurpreet has to share the profit **(1)** and will lose full control of decisions **(1).** Gurpreet should form a partnership **(1).**	**(5)**

Type MS · Preparing an income statement for a trader or service business

Answer 4 of 7 · Question 2 part a · 12 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 3 · find part a in this mark scheme extract

2(a)

Award marks as indicated.

Ali

Income statement for the year ended 30 April 2022

		$	$
Income			72 160 **(1)**
Wages		15 710 **(1)**	
Fuel	**W1**	8 310 **(2)**	
Insurance		550 **(1)**	
Depreciation		6 000 **(1)**	
Office rent and rates	**W2**	7 200 **(2)**	
Irrecoverable debts		70 **(1)**	
Provision for irrecoverable debts		20 **(1)**	
Bank interest		40 **(1)**	37 900
Profit for the year			34 260 **(1of)**

W1 $8 310 **(2)**

$8 140 + ($480 - $310) **(1)** = $8 310 **(1of)**

W2 $7 200 **(2)**

$7 800 + ($600 - $1 200) **(1)** = $7 200 **(1of)**

(12)

Type MS · Preparing an income statement for a trader or service business

Answer 4 of 7 · Question 2 part a · 12 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 3 · find part a in this mark scheme extract

Question number	Answer	Mark
2(b)	**Award marks as indicated.**	

Ali
Statement of financial position at 30 April 2022

Assets	**$**	**$**	**$**
Non-current assets	**Cost**	**Accumulated depreciation**	**Carrying value**
Motor vehicle	34 000	18 000	16 000 **(1of)**
Current assets			
Trade receivables	3 200		
Provision for irrecoverable debts	(160)	3 040 **(1of)**	
Other receivables		1 310	4 350 **(1of)**
Total assets			20 350
Equity and liabilities			
Equity			
Opening equity		17 100 **(1)**	
Profit for the year		34 260	
Drawings		(35 350)	
Total equity			16 010 **(1of)**
Non-current liabilities			
Bank loan			1 800 **(1)**
Current liabilities			
Other payables		480	
Bank overdraft		2 060	
			2 540 **(1)**
Total liabilities			4 340
Total equity and liabilities			20 350 **(1of fb)**

(8)

Type MS · Preparing an income statement for a trader or service business

Answer 4 of 7 · Question 2 part a · 12 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 3 · find part a in this mark scheme extract

Question number	Answer	Mark
2(c)(i)	**Award 1 mark for explaining the concept plus marks as indicated for development.** **Sample answer** Prudence concept states that profits and assets should not be overstated and losses and liabilities should not be understated**(1)**. Writing off an irrecoverable debt ensures that the net profit/profit for the year is not overstated **(1)** and trade receivables are not overstated **(1)**. **Accept any other appropriate responses.**	**(3)**

Question number	Answer	Mark
2(c)(ii)	**Award 1 mark for explaining the concept plus 1 mark as indicated for development.** **Sample answer** Accruals concept states that revenue of the accounting period should be matched against the costs of the same period whether paid or not **(1)**. Providing for depreciation ensures that the costs of the motor vehicle are matched with the income/benefits earned during the same period **(1).** **Accept any other appropriate responses.**	**(2)**

(Total for Question 2 = 25 marks)

Type MS · Preparing an income statement for a trader or service business

Answer 5 of 7 · Question 1 part a · 12 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 3 · find part a in this mark scheme extract

1(a) **Award marks as indicated.**

Jay Income statement for the year ended 31 December 2024				
	$	$		
Revenue	143 200			
Returns inwards	(3 214)			
		139 986	**(1)**	
Cost of sales				
Opening inventory	15 600			
Purchases	69 320			
Closing inventory	(12 900)		**(1fb)**	
		(72 020)	**(1)**	
Gross profit		67 966	**(1of)**	
Add income				
Discount received		534	**(1)**	
		68 500		
Less expenses				
Discount allowed	1 328			
General expenses	8 900			
Rent and rates	5 600			
Insurance	1 830		**(1)**	
Irrecoverable debts	850		**(1)**	**(12)**
Machinery – depreciation charge	11 350		**(1)**	
Machinery repairs	1 500		**(1)**	
Wages and salaries	25 000		**(1)**	
		(56 358)	**(1)**	
Profit for the year		12 142	**(1of)**	

Type MS · Preparing an income statement for a trader or service business

Answer 5 of 7 · Question 1 part a · 12 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 3 · find part a in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)</td><td>Award marks as indicated.

$11 742 (4) W

<table>
<tr><th>W</th><th>$</th></tr>
<tr><td>Profit for the year</td><td>12 142 (1)</td></tr>
<tr><td>Machinery repairs</td><td>(500) (1)</td></tr>
<tr><td>Depreciation charge adjustment</td><td>100 (1)</td></tr>
<tr><td>Adjusted profit for the year</td><td>11 742 (1of)</td></tr>
</table></td><td>(4)</td></tr>
</table>

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(c)</td><td>Award 1 mark for identification of the consistency concept and up to 3 marks for valid development.

Sample answer

Jay should not proceed with this proposal as he will not be complying with the consistency concept (1) which states that once a particular method has been chosen the business must use this from one accounting period to the next (1).

This will enable the business to make meaningful comparisons year on year (1) and avoid distorting the profit for the year (1).

Accept any other appropriate responses</td><td>(4)</td></tr>
</table>

Type MS · Preparing an income statement for a trader or service business

Answer 5 of 7 · Question 1 part a · 12 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(d)	**Award up to two marks for identification of each reason and up to two marks for development** **Award 1 mark for conclusion.** **Sample answer** It is important for Jay to differentiate between capital and revenue expenditure as the incorrect treatment of revenue expenditure would result in the profit for the year being either overstated or understated **(1).** Similarly, the incorrect treatment of capital expenditure would result in the non-current assets section of the statement of financial position being either overstated or understated **(1).** If, for example, Jay enters the purchase of a motor vehicle in the motor expenses account this would result in the profit for the year being understated **(1)** and the value of the motor vehicles in the statement of financial position being understated **(1).** Treating capital expenditure and revenue expenditure incorrectly would result in the financial statements not providing a true and fair view of the business **(1).** **Accept any other appropriate responses**	**(5)**

Type MS · Preparing an income statement for a trader or service business

Answer 6 of 7 · Question 2 part a · 8 marks

2025 NOV · Paper 02 · extract 1 of 4 · find part a in this mark scheme extract

2(a) **Award marks as indicated.**

Taylor

Income statement for the year ended 31 March 2025

	$	$	
Gross profit		419 250	**(1)**
Profit on disposal (of motor vehicle)		800	**(1)**
Provision for irrecoverable debts		150	**(1)**
		420 200	
Expenses			
Lighting and heating	10 800		
Irrecoverable debts	250		
Sundry expenses	39 630		
Wages and salaries	252 000		**(1)**
Depreciation – fixtures and fittings	5 000		**(1)**
Depreciation – motor vehicles	2 560		**(1)**
		310 240	**(1)**
Profit for the year		109 960	**(1of)**

(8)

Type MS · Preparing an income statement for a trader or service business

Answer 6 of 7 · Question 2 part a · 8 marks

2025 NOV · Paper 02 · extract 2 of 4 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Preparing an income statement for a trader or service business

Answer 6 of 7 · Question 2 part a · 8 marks

2025 NOV · Paper 02 · extract 3 of 4 · find part a in this mark scheme extract

2(b) **Award marks as indicated.**

Taylor
Statement of financial position at 31 March 2025

Assets	**$**	**$**	**$**	
Non-current assets				
Land and buildings	250 000	-	250 000	
Fixtures and fittings	50 000	15 000	35 000	**(1)**
Motor vehicles	20 000	9 760	10 240	**(1)**
			295 240	**(1)**
Current assets				
Inventory		35 200		
Trade receivables		11 400		**(1)**
Cash in hand		1 120		
			47 720	**(1of)**
Total assets			342 960	**(1of)**
Equity and liabilities				
Equity				
Opening equity		250 000		
Profit for the year		109 960		**(2/1of)**
Drawings		(50 000)		
Total/closing equity			309 960	**(1of)**
Current liabilities				
Trade payables		9 800		
Other payables		21 000		**(1)**
Bank overdraft		2 200		**(1)**
			33 000	
Total equity and liabilities			342 960	**(1of)**

(12)

Question	Answer	Mark

Type MS · Preparing an income statement for a trader or service business

Answer 6 of 7 · Question 2 part a · 8 marks

2025 NOV · Paper 02 · extract 4 of 4 · find part a in this mark scheme extract

Number		
2(c)	**Award up to 2 marks for reference to each concept – (maximum 2 concepts). Award 1 mark for an overall conclusion.** **Sample answer** If Taylor changes his depreciation policy, he would not be complying with the **consistency concept (1)** which states that once a method has been selected this should be applied consistently year on year **(1).** As depreciation is an application of the **matching concept (1)** the method chosen should reflect the contribution the asset makes towards the revenue earned from that asset which may not be the case if he changes **(1)** As depreciation is an application of the **prudence concept (1)** the method chosen should reflect that profit should not be overstated which may not be the case if he changes **(1)** I would advise him not to change his depreciation policy **(1).** **Accept any other appropriate responses**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Preparing an income statement for a trader or service business

Answer 7 of 7 · Question 1 part a.i · 15 marks

2024 JUN · Paper 02 · extract 1 of 2 · find part a.i in this mark scheme extract

1(a)(i) **Award marks as indicated.**

Ahmed and Malik
Income Statement
For the year ended 31 March 2024

	$	$
Revenue		192 000 **(1)**
Cost of sales		
Opening inventory	12 260	
Purchases	86 321 **(1)**	
Purchase returns	(3 298)**(1)**	
Carriage inwards	645 **(1)**	
Closing inventory	(14 265)**(1fb)**	
Cost of sales		(81 663)**(1)**
Gross profit		110 337**(1of)**
Discount received		663 **(1)**
		111 000
Expenses		
Rent rates and insurance	10 000**(1)**	
Carriage outwards	1 300**(1)**	
Depreciation – motor vehicles	5 000**(1)**	
Discount allowed	678**(1)**	
Motor expenses	1 854	
Provision for irrecoverable debts	720 **(1)**	
Wages and salaries	44 448	
		64 000 **(1)**
Profit for the year		47 000**(1of)**

(15)

Type MS · Preparing an income statement for a trader or service business

Answer 7 of 7 · Question 1 part a.i · 15 marks

2024 JUN · Paper 02 · extract 2 of 2 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1(a)(ii)	**Award marks as indicated.** **Ahmed and Malik** **Appropriation Account** **For the year ended 31 March 2024**	**(5)**

	$	$
Profit for the year		47 000 **(1of)**
Interest on capital –Ahmed - Malik	(2 500) (1 500) **(1fb)**	
Salary - Ahmed	(10 000) **(1)**	(14 000)
Residual profit		33 000 **(1of)**
Share of profits – Ahmed - Malik		16 500 16 500 **(1offb)**

Question Number	Answer	Mark
1(b)	**Award up to 2 marks for an explanation of advantages and up to 2 marks for an explanation of disadvantages.** **Award 1 mark for overall advice.** **Sample answer** If the partners introduce a third partner the new partner may bring in additional skills and expertise **(1)** which may help the partnership to increase its revenue/profit. **(1)** However, introducing a new partner may result in conflict between the partners **(1)** which may have a negative effect on the company's efficiency resulting in lower profits. **(1)** I would advise the partners to proceed with their proposal as they may be able to increase their profit in the long-term. **(1)** **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 1 = 25 MARKS